Reuters (via Denver Gazette) · ABC News · Reuters (via The Star)
Digest of 25 October 2026

Houthi strikes on Saudi oil keep crude near a five-month high

> On Saturday Yemen's Houthis said they had attacked Saudi oil facilities and airports. The claims add to fears about supply from the world's largest crude exporter, at a time when oil prices are already the highest in five months.

WHAT HAPPENED

- The Houthis named Aramco's Yanbu facility, the Rabigh refinery, crude pumping stations and the **East-West Pipeline** among their targets, as well as airports in Riyadh, Dammam and Najran.
- The Saudi-led coalition said it destroyed two ballistic missiles aimed at Yanbu and Taif. It is **unclear whether any target was hit**.
- The fighting has ended a 2022 UN-brokered truce. Reuters links the escalation to the US–Israeli war on Iran.
- Brent crude closed the week at about **US$113–114 a barrel**. It was about US$102 at the time of the RBA's late-September meeting.

BY THE NUMBERS

US$113–114
Brent crude at Friday's close, a five-month high

US$102
Brent at the time of the RBA's late-Sept meeting

35%+
how far oil is above the RBA's August assumption (Reuters)

2
missiles the coalition says it intercepted

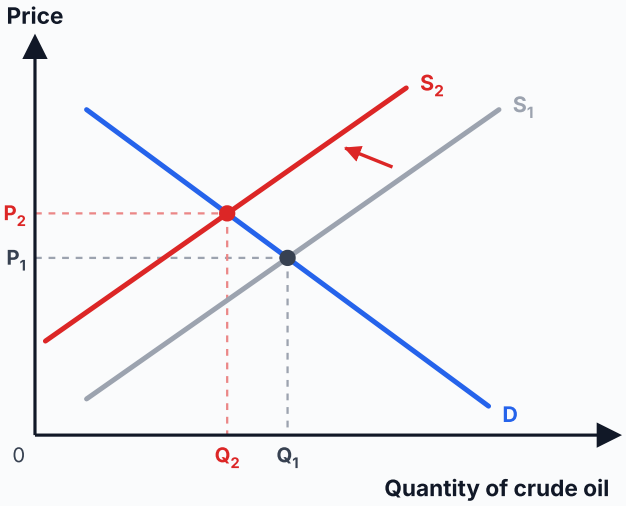
KEY TERMS

Supply shock: a sudden fall in supply that pushes prices up.

Price-inelastic demand: buyers cut back only a little when the price rises, as with fuel in the short run.

Imported inflation: higher world prices feeding into domestic prices through the cost of imports.

DIAGRAM — Why a supply scare lifts oil prices so sharply



In the short run, **demand for oil is price-inelastic** (the steep D curve). Drivers, airlines and freight firms can't quickly switch fuels.

When attacks threaten supply, it shifts from **S_1 to S_2**. Quantity falls only a little (**Q_1 to Q_2**), but the price jumps from **P_1 to P_2**.

Exam angle: on an AD/AS diagram, the same shock shifts SRAS to the left. Prices rise while output falls: this is **stagflation**, the RBA's current dilemma.

FLOW CHART — How a Middle East shock reaches Australian prices

Attacks raise supply risk → Brent crude rises → Petrol and freight costs rise → Headline CPI rises → **More pressure on the RBA**

SYLLABUS LINK

TOPIC 1: how international events and commodity markets spread shocks between economies. It links to **TOPIC 3** (cost-push inflation).

TRY THIS

Using a supply and demand diagram, explain why a disruption to Saudi oil supply could cause a large rise in world oil prices. **(4 MARKS)**

Articles: Reuters via Denver Gazette, 'Houthis say they attacked Saudi oil sites', 25 Oct 2026 — https://www.denvergazette.com/2026/10/25/houthis-say-they-attacked-saudi-oil-sites-strikes-reported-in-aden/ · ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840 · Reuters via The Star, 'Inflation outlook worsens for Australia', 22 Oct 2026 — https://www.thestar.com.my/business/business-news/2026/10/22/inflation-outlook-worsens-for-australia

Figures as reported at time of writing. Diagrams are illustrative, not to scale.